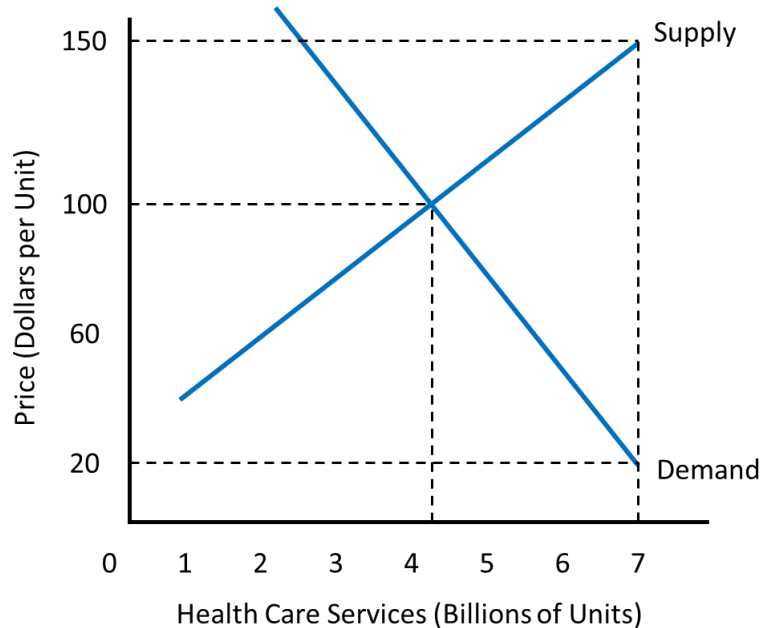


財政學 HW7

1. (Hyman 9.2) The graph on the bottom shows the supply and demand for health care in the nation. The demand curve reflects the marginal social benefit of health care, while the supply curve reflects the marginal social cost.

What is the efficient amount of health care expenditures?

Suppose that under current arrangements health insurance reduces the price of health care to the population from an average of \$100 per unit to \$20 per unit. Show how third-party payments will affect the market for health care by affecting the quantity demanded and quantity supplied. Assuming that the price must increase \$150 to accommodate the new quantity demanded, calculate the increase in expenditures for health care. Is efficiency now attained in market?



2. (Rosen 9.7) To work this problem, you'll need a calculator than can take logarithms or a spreadsheet program. Suppose that your utility function is $U=\ln(4I)$, where I is the amount of income you make in a given year. Suppose that you typically make \$30,000 per year, but there is a 5 percent chance that, in the next year, you will get sick and lose \$20,000 in income due to medical costs.

- a. What is your expected utility if you do not have insurance to protect against this adverse event?
- b. Suppose you can buy insurance that will cover your losses if you get sick. What would be the actuarially fair premium? What is your expected utility if you buy the insurance policy?
- c. What is the most that you'd be willing to pay for this policy?

3. (Rosen 10.5) Medicare recipients can purchase supplemental private insurance (known as Medigap insurance) to fill the gap in coverage left by Medicare. This gap includes copayments, deductibles, and prescription drug expenses not covered by Medicare. Several years ago, the government enacted regulations that specify minimum standards for items that Medigap policies must cover. This made the policies more expensive, and as a consequence, about 25 percent of the elderly who would have purchased more Medigap insurance purchased none at all [Finkelstein, 2004].

Consider an individual who consumes two goods: "insurance" and "all other goods." The cost of a unit of Medigap insurance is \$1, as is the cost of a unit of all other goods. Sketch a budget constraint and set of indifference curves that are consistent with the following scenario: In an unregulated market, an individual with a \$30,000 income purchase \$5,000 worth of Medigap insurance. The government then puts madates on Medigap policies that raise their minimum price to \$8,000; that is, the individual must purchase at least \$8,000 units of Medigap insurance or none at all. After considering the matter, the individual decides to go without Medigap insurance.

4. 請說明下列現行全民健保現行部分負擔制度

- a. 門診 vs. 住院
- b. 低收入戶及醫療資源貧瘠地區

5. 請以 200 字介紹全民健保醫療費用總額支付制度